Today

Welcome to your next lesson: The 1970s, crisis of confidence and economic disruption.

I'm preparing your personalized lesson based on what you've learned, what's next, and how to help you grow stronger in this topic.

Step by step, you’re moving forward.

Ron, let’s drop into the 1970s by zooming in on one simple idea: what happens when a society built on cheap, reliable energy suddenly faces expensive, uncertain energy? ⛽

Imagine you’ve planned your whole life around gas being cheap and always available: long commutes, big cars, shipping goods by truck, heated homes, air travel. Then, almost overnight, the price of oil jumps and sometimes you can’t even get it.

In the 1970s, that kind of shock actually happened. Historians call this an oil shock:

Oil shock = a sudden disruption or big jump in oil prices that makes energy and transportation much more expensive across the whole economy.

Make sense so far: a sudden oil-price jump ripples through everything because so much depends on energy?

yes i was born in 66 i lived the carter era gas crisis with lines 4 times ariund the block, only allowed to buy gas on eve d days based on name or address i forget, prior to 70s

gas was under a dollar and moved up a penny a year after that it went 1,150, 2.25, 3 big jumps

That memory is incredibly valuable here, Ron — you lived the thing we're trying to explain in this lesson. 🚗⛽

Let's turn your experience into a clear causal chain.

Before the 1970s, the U.S. had gotten used to:

Cheap oil (gas under $1, slow price changes)
Reliable supply (no long lines, no odd/even days)
An assumption: "Energy will stay cheap and available, so growth and driving and shipping can just keep expanding."

Then came the shocks you remember:

Sudden big price jumps (not pennies, but dollars)
Physical shortages and lines (4 times around the block, rules about when you could buy)

Those shocks didn't just hurt wallets; they shook confidence in the whole postwar economic setup.

I want to add one core idea now: inflation.

Inflation = a broad, ongoing rise in prices so that your money buys less than before.

In the 1970s:

Oil price jumps raised transportation and production costs
Those higher costs spread into the prices of many goods
People felt: "My paycheck doesn't go as far anymore."

Does that line up with what you remember from that time — prices in general feeling like they were climbing, not just gas?

Yes, I remember that clearly

Perfect, that lived memory is going to help a lot. Let’s stack one more layer on top of inflation.

In a “normal” postwar recession, people expected a tradeoff:

If the government tried to fight unemployment (stimulate the economy), inflation might go up a bit.
If it tried to fight inflation (slow things down), unemployment might go up, but prices would calm down.

In the 1970s, something much more disturbing showed up:

Stagflation = stagnation + inflation

Weak growth and higher unemployment at the same time as high inflation.

So people saw:

Jobs and growth: not great
Prices: still rising fast

This made many feel like the usual economic tools “weren’t working anymore.”

Quick check, in plain words:

Does it make sense why stagflation felt worse and more confusing than just “a recession” or just “high inflation”?

yes it does

Nice. Let’s lock in the big picture with a quick visual I just generated 👇

It shows this chain:

Oil shock → higher energy costs → rising prices (inflation) → slower growth & job problems → stagflation → doubts about old economic tools

Take a look at the diagram below and walk through it step by step.

Then tell me:

If you had to pick one spot in that chain where people's confidence in the economy really started to crack, which box would you choose, and why?

1970s Oil Shock and Stagflation Causal Chain

to the general public probably #2 whicj is when those higher oil prices started hitting the wallet

I agree with you, Ron — for most people, the "my wallet hurts" moment is where confidence really starts to crack. 💸

Let's name what you just described more clearly:

Oil shock happens (international supply disruption)
That turns into higher gas and energy prices
For the public, this shows up as: "I can't afford to fill my tank / heat my home like before."
That's when people start asking:
"Are the people in charge actually in control of this?"

So your #2 is the point where an abstract global problem becomes a personal crisis.

Next, I want to connect this economic pain to trust in government.

Before I explain Watergate, let me ask:

When you think back to the 1970s, do you remember more talk in your family or community about:

“The economy / prices / jobs are a mess,”
or
“You can’t trust politicians / the government anymore,”

or did it feel like both at the same time?

yes and i feel it more now in the 50s one man could have a no colege job and support a family own a home and a car afford a vacation now its impossible unles you are very well paid, houses became a comidity to create equity and weatth instead of a means to house families IE a neessity and it drove prices ouf of reach of the lower and middle class, , same with everying food gas you name it

You’re putting your finger on something really deep, Ron: when basic costs of living feel out of reach, people don’t just feel poor — they start doubting the whole system and the people running it. 🧠💥

Let me keep us anchored in the 1970s for this lesson, then we can connect more to today if you want.

Step by step for the 70s:

Economic side

Oil shocks + inflation + stagflation
Result: “I work hard, but I’m falling behind. Maybe the people in charge don’t know what they’re doing.”
Political side (this is where Watergate comes in)
Very simple version:

Members of Nixon’s team were caught in illegal activity (like the Watergate break-in).
There was a cover-up from the highest levels of the White House.
Televised hearings showed the details to the whole country.
That’s our key term:

Political scandal = when serious misconduct or abuse of power by leaders becomes public and damages trust.

So now you've got:

Money not going as far (your experience with gas, prices, etc.)
Government leaders caught lying and abusing power on TV

Together, this feeds what historians call a:

Crisis of confidence = lots of people start doubting both the system's competence ("can it manage the economy?") and its honesty ("can we trust these people at all?").

Does that combo — economic pain + political scandal → crisis of confidence — feel like a fair description of the mood you remember building by the late 70s?

yes

What do you think? Go ahead and pick the option that best fits how the 1970s turned into a crisis of confidence 👇

Which combination best explains why the 1970s produced a crisis of confidence in the United States?

A.
Oil disruptions and inflation challenged economic expectations, while Watergate weakened trust in government.

B.
Falling energy prices and unusually strong economic growth made people distrust markets.

C.
New personal computers immediately replaced older industries.

D.
The end of the Cold War eliminated confidence in postwar institutions.

Nice work, Ron — that’s exactly right. 🎯

Your choice nails the two big pillars of the 1970s crisis of confidence:

Oil disruptions + inflation

Shook people’s belief that the postwar economy would keep delivering stable growth and affordable living.
Stagflation made it seem like the usual economic playbook didn’t work.
Watergate political scandal

Exposed abuse of power and lying at the highest level.
Televised hearings made millions feel they couldn’t simply trust the president or the system.

Put together:

“The system doesn’t seem to work” (economy) + “The people running it may not be honest” (politics) = crisis of confidence.

Now I’d like to hear your causal explanation, in your own words, but in two short parts:

Economic side:
How did the oil shocks and inflation you remember (gas lines, prices jumping) challenge the old belief that the U.S. economy would just keep growing and lifting living standards?

Political side:
How did scandals like Watergate, on top of that economic stress, push people to rethink how much they trusted government and what kind of role it should have?

You can keep each part to 2–3 sentences. I’m more interested in your logic than in fancy wording. 💬

on the economic side the oil shortage and inflation brought home just how much our economy is dependant on resoures outside of our own. OPEC and the like can squeeze effect our econoy a lot. we all knew cities were expanding , car use

expanding and saw the dollar ceiling on products liek gas blown through

On the political side we had watergate the the iran hostage debacle with pres. carter going on forever an d having coptors exploding at start of a rescue missio if i recall it correctly , start showing the weakness in the leadershiip. prior to that for the most part from washignonton to kennedy they were all held ij high regard . a lot like last weeks less on how politicians were suddenly visible to the public and the news cameras . all the flaws came out

Ron, this is excellent causal thinking. You're doing exactly what a historian does. 👏

Let me reflect back what you just did, in clear steps.

Economic side (you nailed it):

You said:

The shocks showed "how much our economy is dependent on resources outside of our own."
OPEC could "squeeze" and affect the U.S. economy a lot.
People saw gas prices blow past what they thought was the "ceiling."

That's spot-on. In other words:

Americans realized the postwar promise of steady, cheap growth was fragile — a few decisions by oil producers overseas could suddenly make daily life more expensive and unstable.

That directly weakens confidence in the old assumption: "Our economy is safe and in our control."

Political side (also very strong):

You connected:

Watergate → exposed dishonesty and abuse of power.
Iran hostage crisis and failed rescue → made leadership look weak and ineffective.
TV and news brought all of it into people's living rooms, so "all the flaws came out."

You're capturing two pieces of political legitimacy:

Political legitimacy = the sense that leaders are both honest and capable enough to govern.

Watergate hit the honesty part.

Iran, in many eyes, hit the competence part.

Combine that with the economic mess, and you get a deep crisis of confidence.

Let me introduce one last term for what followed:

Ideological change = when people start to rethink big ideas about what government should do, how much to trust markets, and who is responsible for economic outcomes.

In the late 70s, a lot of Americans:

Lost faith that the existing way of managing the economy and politics was working.
Became more open to new ideas about how big government should be, how markets should work, and what leadership should look like.
To check you've got the full story, can you do this in 3–4 sentences:

First 1–2 sentences: explain how the oil shocks and inflation weakened confidence in the old postwar economic model.
Next 1–2 sentences: explain how economic stress + scandals like Watergate and Iran pushed people to be more open to changing their ideas about government’s role (ideological change).

Keep it simple and direct, the way you’ve been writing. 💬

i think i just did that but people were used to a steady expeced rate of inflation and worked hard (unions) to keep salaries in pace. the 70s oil crises and other rising costs as well as closure of alot of factories that used to provide stable life long jobs to non coll degreed people, weakened most peoples cofidence it would get better . Then the scandles and fumbles by the politicias started lettting the public see the 'pay no attention to the man behind the curtain -wizard of oz' scenaio. That the leadersip is not like kings and qeeuns to be blinly followded and perceived to be right. How did timothy leary out thre new attituee?Think for yourself andquesiton authority

You did just do it — and you did it really well. 😊 Let me show you why what you wrote hits the targets.

Step by step, here’s what you captured:

Economic side — old model breaking down

People were used to steady, predictable inflation and unions fighting to keep wages in step.
Then the 70s brought oil shocks, rising costs, and factory closures that had once provided stable, lifelong jobs.
That shook confidence that “if you work hard, the system will take care of you and your family.”
That’s exactly how oil shocks + inflation + structural changes weakened faith in the postwar economic model.

Political side — from respect to suspicion

Watergate and other “fumbles” made the public see the “man behind the curtain” — leaders as flawed, secretive, and sometimes incompetent.
Instead of treating leaders like kings/queens to be followed blindly, people moved toward a “think for yourself, question

authority” mindset.
That’s a great, intuitive way to describe crisis of confidence turning into ideological change: people don’t just lose trust; they start rethinking what leadership and government should look like.

From a mastery standpoint for this lesson, you’ve shown you can:

Explain how oil shocks and inflation weakened confidence in postwar growth and economic management. ✅
Explain how economic disruption + political scandal deepened a crisis of confidence and helped drive ideological change. ✅

You’re there.

Ron, you’ve connected your own lived experience to the history in a really sharp way.

Want to keep exploring this era more (like digging into one piece — inflation, oil, or Watergate — in extra depth), or are you ready to move on to the next lesson in the course?

Move to the next lesson

Done ✅ You’ve officially wrapped “The 1970s: crisis of confidence and economic disruption.”

Quick snapshot of what you clearly understand now:

How oil shocks + inflation + stagflation made people doubt the old promise of steady postwar growth and stable, well-paid jobs.
How Watergate, Iran, and other political failures weakened trust in leaders’ honesty and competence.
How those together created a crisis of confidence and opened the door to new ideas about what government should be and do.

Your own memories (gas lines, factory closures, changing expectations) made your explanations stronger than any textbook. 👌

When you’re ready, you can hit Next Lesson in the Learn tab, and I’ll be right there with you.

Anything you want to quickly revisit from this lesson before you dive into the next one, or are you good to roll forward as-is?